

Professor Chuan-Ju Wang
Dept. of Computer Science
Taipei Municipal University of Education
No. 1, Aiguo W. Rd., Zhongzheng Dist.
Taipei 10048, Taiwan
Tel: (886) 2-23113040 ext 8936
Email: jerewang@gmail.com

July 9, 2013

Professor Moustafa Abu El Fadl
Editor-in-Chief
Rhode Island College, USA
Email: editor@ijbcd.com

Dear Professor Abu El Fadl,

The coauthors and I thank the reviewers for the comments regarding our submitted paper (IJBCD-56218) to *International Journal of Bonds and Currency Derivatives* :

Realized Tax Benefits and Capital Structure

The revised version of our paper incorporates the helpful suggestions raised by the reviewers. We think the paper quality has thus been greatly improved. Below is a summary of the comments from the editor and reviewers (in boldface) and our revisions.

Reviewer A:

- Suggestions which would improve the quality of the paper but are not essential for publication:
 1. **This paper analyzes how the retention of realized tax benefits and the manner in which retained tax benefits are invested. The numerical analysis shows that retaining realized tax benefits and investing them in risk-free assets result in higher debt capacity and maximum firm value. The paper is well written and the presentation is clear. The paper demonstrates an adequate understanding of the relevant literature in the field and cites an appropriate range of literature sources. The paper's argument built on an appropriate base of theory, and the methods employed in the paper are appropriate.**

We thank the reviewer for the positive comments.

Reviewer B:

- Suggestions which would improve the quality of the paper but are not essential for publication:
 1. **A broader review of literature, instead of a narrow focus on Leland (94).**

We thank the reviewer for the comments. We have revised the introduction to enrich the literature review. Some additional literature, such as Leland and Toft (1996), Broadie and Detemple (1996), Briys and De Varenne (1997), and Fan and Sundaresan (2000), has been added in the paper.

- Changes which must be made before publication:
 1. **The authors present some ideas for extending Leland (94) that could be of interest to the community. However, they need to better explain and justify the premise of the work to a significant degree. The authors argue that Leland (94) is deficient with regard to handling of the tax benefits because of use of after-tax coupon payments. For the equation $V = V_A + TB - BC$, as per Leland (94), the leveraged firm sells additional equity to cover the coupon payments if needed. Since the coupon payments are partially offset by reduction in taxes, this frees up part of the cash flow towards coupon payments and thus only the after-tax payments need to be considered for the additional equity that must be sold. There does not seem to be anything inherently wrong with the approach of Leland (94).**

Leland (1994) model restricts the firm from selling the asset to finance the coupon payments. He provides a simplified and intuitive argument to show that the coupon payments are partially offset by the tax reduction and the

remaining payments are financed by issuing equities. Indeed, the tax refund would be received by the firm as part of its retain earnings rather than directly paying to the equity holders (to offset the coupon payments). Fan and Sundaresan (2000) also argues that the retain earnings are accessible by the debt holders upon bankruptcy. This paper merges Fan and Sundaresan's argument into Leland's model by analyzing the effect of different strategies to invest realized tax benefits.

2. **The authors instead appear to effectively suggest that equity be sold to cover the complete coupon payment and that the tax savings be retained as additional assets that could be reinvested in the company or at the risk free rate. How would this be different from issuing even more equity and investing the proceeds similarly? For instance issuing equity to cover two coupon payments for safety, and then investing the remaining proceeds at the risk free rate till the time needed.**

If the firm issues more equity than is required for coupons, then the remaining proceeds would be invested as a part of the firm's asset, which becomes accessible by the debt holders upon bankruptcy. This strategy would increase the debt value. A simple example to illustrate this phenomenon is given in page 4 of the introduction.

3. **If the issue is the different payment times, such that the coupon payment is made fully at one time and the tax reduction occurs at a different time within the cycle, such issues within a period also apply to sales and collection cycles and resulting liquidity issues would likely be handled using shorter-term debt.**

We thank the reviewer to give this useful comment that makes our model more realistic. Indeed, the firm may issue a short-term debt, like a commercial paper, to partially finance the coupon payout, and the firm will repay this commercial paper when receiving the tax refund. The numerical experiment in Table 3 suggests that both the equity and the debt values decrease with the increment of the time span of this commercial paper due to the increment of the interest expense paid to the commercial paper holder.

I hope our revised version has made the kind of progress demanded by the reviewers. I look forward to hearing from you.

Sincerely,

Chuan-Ju Wang